SAINT MICHAEL COLLEGE OF CARAGA

TAX LITERACY AND COMPLIANCE OF SELECTED STARTUPS IN AGUSAN DEL NORTE: BASIS FOR TAX EDUCATION PROGRAM

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The Faculty of
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In Partial Requirements for the Degree
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MAJOR IN FINANCIAL MANAGEMENT

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ABSTRACT

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I. OBJECTIVES

This study aims to evaluate the complex relationship of tax literacy and tax compliance of selected startup businesses in Agusan del Norte. To enhance tax education and simplify tax processes to improve compliance rates among startup businesses by proposing a Tax Education Program.

II. METHODOLOGY

This study primarily describes the tax literacy and compliance of selected startup businesses in Agusan del Norte. It uses quantitative research and a descriptive correlational design. The researchers will use an adapted and modified printed research questionnaire that Mr. Oliver S. Umali developed to gather respondent's information.

KEYWORDS: Tax Literacy, Tax Compliance, Startup Business

DEDICATION

ACKNOWLEDGEMENT

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CHAPTER 1

THE PROBLEM AND ITS SCOPE

1.1 Background of the Study

Tax literacy is crucial for individuals and businesses when making decisions, as the rules are constantly evolving and the economy is expanding. Hence, people need to be more aware of and follow them. Citizens and businesses pay tax for their well-being and civilization (Adelakun, 2023). The importance of tax in every economy cannot be underestimated (Kakra, 2020). A high level of tax literacy enables firms to understand the complexity of tax laws better, correctly compute their tax liabilities, and avoid penalties for non-compliance. This understanding promotes transparency and accountability in business operations, thereby increasing the likelihood of timely tax payments. For startup businesses, this will significantly enhance their understanding and make it easier to access government tax benefits (Agusti & Rahman, 2023). Gani et al. (2025) note that tax literacy plays a crucial role in determining compliance levels; the more aware a taxpayer is of their tax obligations, the more likely they are to be disciplined in filing their taxes. To support this claim, Disate et al. (2025) observed that as enterprises increase their tax awareness, their tax compliance improves, and local infrastructure growth increases. Thus, strengthening tax literacy among individuals and businesses not only promotes voluntary compliance but also supports sustainable economic development.

It is the conventional startup venture to seek funds sufficient to meet an 18 to 24 months runway, but in a tight fundraising climate, one might recommend a 24 to 36 months runway. It refers to the period during which a startup can sustain its operations or engage in long-term planning at its current level of spending before it runs out of cash, as (Morgan, 2024) explains. Moreover, Padi et al. (2025) finds that startup owners who understand taxes are far

more likely to comply with Value Added Tax rules, thereby reducing underreporting and filing delays. Furthermore, Lusala et al. (2025) also states that how well business owners grasp the changing e-tax system and the responsibilities that may lead to unintentional non-compliance will be linked to how effectively technology-based enterprises pay digital taxes. These may arise from the heightened risk of deliberate or accidental non-compliance due to a deficiency in awareness or comprehension of tax obligations, as noted by (Cafe et al., 2024). According to Tarwa et al. (2025), this will support the idea that better tax education and support for the startup businesses will help people comply with their tax obligations; however, this will be challenging because people do not trust the government, are confused, and will disapprove of the new tax rules. Pratama (2023) examines the intricate relationship between tax policy and entrepreneurship, aiming to provide a comprehensive analysis of the impact of taxation on entrepreneurial behavior and performance.

Filipino business owners face challenges in tracking their finances and maintaining accountability to meet their tax obligations (Cain et al., 2021). According to Umali (2024), a significant factor preventing firms in Cabuyao City from complying with the rules is their insufficient information about taxes. Relatedly, the majority of individual s in Mindanao consider paying taxes a burden rather than a civic obligation and are therefore more reluctant to do so voluntarily (Cervantes et al., 2025). In addition, Belen et al. (2024) indicate that most businesses struggle to manage their finances and fulfill their tax obligations due to a lack of necessary resources and expertise. Furthermore, different types of taxpayers—impulsive, contemplative, and active—based on their past experiences with taxes and moral influences, affect management's judgments about tax and ethical compliance, thereby making a business more appealing and desirable to investors (Angeles, 2021). However, a review of existing

literature revealed that no prior studies on tax literacy and tax compliance have been conducted within the Caraga region.

These findings indicate that tax knowledge and education also affect taxpayer behavior (Tax Payers Advocate, 2024). The literature on SMEs is quite extensive, whereas other studies focus on startups, which often experience uneven cash flow, informality, and a need for innovation (Kartika, 2024). Without the necessary report, startup businesses operating in online commerce can struggle to understand international taxation and reporting requirements (Sormin, 2022). Additionally, the perceptions of fairness and confidence in the tax authorities might affect compliance behavior (Nigatu & Dr. Walia, 2023). According to a study by the Tax Payers Advocate (2024), enhancing trust in government institutions and increasing people's knowledge of tax issues are essential in creating a better foundation for motivating individuals to pay taxes. To overcome such challenges, significant changes are needed in the laws that foster trust, simplify procedures, and educate the public. In addition, it provides a two-year tax exemption to all startups, but only if they are not affiliated with any existing corporations or conglomerates, to avoid abuse and unnecessary tax benefits for those who can already afford to pay taxes (Abrea, 2021). Furthermore, to improve the understanding of taxation through socialization and education, through collaborative community service. The methods include initial surveys, seminars, tax literacy classes, reporting simulations (e-filing and e-form), FGDs, and technical assistance (Adan et al., 2025).

As a result, this study fills a gap in local knowledge on the tax literacy and tax compliance of selected startup businesses in Agusan del Norte and the factors that affect them. The findings may help startup business owners improve their understanding of tax responsibilities, support proper tax planning, and strengthen financial stability and long-term business growth. Department and school administrators, may use the findings to improve

curriculum, teaching methods, and community programs, as well as to develop tax education initiatives that promote responsible entrepreneurship and support the local business sector. Lastly, the results may also guide policymakers in creating effective tax policies and financial education programs that address the needs of startup businesses and encourage better tax compliance.

1.2 Review of Related Literature

The role of tax literacy in the compliance behavior of startup businesses is increasingly supported by research. When startup owners are fully aware of the tax processes, they are more likely to file accurate returns and remit taxes on schedule. The aspect of tax literacy promotes accountability as well, and it discourages tax fraud that could arise due to a lack of knowledge or understanding of the tax system. As Tantriangela & Setyowati (2023) state, the progressive concepts of tax literacy will have to be negotiated, not only in terms of financial literacy but also as a tool for enhancing the result of compliance. This broad viewpoint is consistent with Ndung et al. (2025), who argue that it has a positive effect on individual taxpayers' compliance. On the one hand, Rosanti & Simorangkir (2024) demonstrate that tax compliance increases the likelihood that taxpayers will adhere to the rules. According to Cain et al. (2021), several startup entrepreneurs in the Philippines lack practical accounting and record-keeping practices, which complicates their attempts to comply with the rules. Similarly, other aspects, including the availability of finance, markets, and infrastructure, played a more significant role in defining growth and sustainability (Namubiru et al., 2025). The introduction of new technology for collecting Zakat, taxes, and customs revenues makes Saudi Arabia a more efficient, transparent, and beneficial place for stakeholders; however, implementation challenges and digital gaps remain (Al-Zaidan, 2023). Therefore, being aware of tax obligations

helps startups run more sustainably, ensuring they are in line with regulations, competitive, and positioned to contribute to long-term economic growth.

According to Umali (2024), understanding tax literacy includes BIR Registration Knowledge, Filing & Payment Knowledge, E-System Knowledge, and Penalties & Rules Knowledge. On the other hand, tax compliance considering factors such as Timeless and Accuracy, Adherence to BIR Process, and Documentary Compliance.

Tax Literacy

Tax literacy is essential for both individuals and enterprises when making informed financial and operational decisions, as tax rules and regulations are constantly evolving in tandem with the expanding economy, (Umali, 2024). Hence, people need to be more aware of these changes and comply accordingly to avoid legal and financial consequences. According to Ellawule et al. (2024), the tax rate has no notable impact on tax compliance in Nigeria. However, tax knowledge significantly enhances this relationship, as it is essential to introduce tax education in schools at an early stage to improve compliance levels and foster trust in the government (Appiah et al., 2024). Similarly, Gani et al. (2025) state that tax literacy plays a crucial role in determining compliance levels; the more aware a taxpayer is of their tax obligations - including their filing and payment knowledge, the more likely they are to be disciplined in filing their taxes. Therefore, Disate et al. (2025) observed that as enterprises increase their tax awareness, their tax compliance improves, and local infrastructure growth increases. Anggraini (2025) asserts that digital literacy, tax incentives, and tax knowledge have a long-term impact on entrepreneurs' success.

Nonetheless, they have little knowledge of tax schedules, which complicates compliance with the regulations. This is why there is a need for strategic tax education programs that use both digital and print networks (Renoria, 2024). The survey identified that

a primary reason for non-compliance among local firms is insufficient awareness of tax obligations (Umali, 2024). These results suggest that tax knowledge and education will be the most significant determinants of taxpayer behavior (Tax Payers Advocate, 2024). Business owners can have a reasonable understanding of the tax laws through various educational materials.

BIR Registration Knowledge

According to Lee et al. (2024) and Baba (2022), tax compliance becomes challenging when taxpayers lack sufficient knowledge about BIR processes, including morale, inspection rates, perceptions of tax fairness, the equitable distribution of tax burdens, and awareness of registration procedures and their benefits for both individuals and businesses. Additionally, factors such as the time needed for tax calculations, filing returns, and the effectiveness of government tax policies influence compliance. While tax rates may differ only slightly, businesses in many developing ASEAN markets often face longer and more complex procedures to meet tax requirements (Dezan Shira & Associates, 2021). Furthermore, tax literacy includes understanding and keeping track of tax-related issues, being up to date on developments, and skillfully managing personal budgets by taking tax obligations into consideration, (Umali, 2024).

Filing & Payment Knowledge

Gani et al. (2025) argue that tax literacy significantly influences compliance, noting that taxpayers who possess greater awareness of their obligations—particularly regarding filing procedures and payment requirements—are more likely to demonstrate discipline in fulfilling their tax responsibilities. Additionally, simplifying the processes of tax registration, filing, and payment for individual taxpayers and micro, small, and medium-sized enterprises (MSMEs) is an essential measure for promoting greater compliance (Umali, 2024).

E-System Knowledge

Taxes are a financial and administrative burden for businesses, which makes it more difficult for them to engage in staff development and business' growth (Dungkelberg, 2021).. Additionally, Al-Zaidan (2023), adopting new technologies for collecting Zakat, taxes, and customs revenues has improved efficiency, transparency, and overall stakeholder benefits in Saudi Arabia, though issues related to implementation and digital accessibility still persist. Similarly, Lusala et al. (2025) note that business owners' understanding of the evolving e-tax system and its requirements influences how well technology-driven enterprises comply with digital tax obligations, and gaps in this understanding may lead to unintentional non-compliance.

Penalties & Knowledge

Tax knowledge is recognized as a key determinant of tax compliance, Umali (2024) observes that limited attention has been given to its specific components. Bornman and Wassermann (2020) highlight that tax knowledge can be utilized to anticipate potential tax consequences, including their timing and location. Furthermore, Umali (2024) associates such knowledge with more positive attitudes toward tax payment and enhanced perceptions of fairness within the tax system. Moreover, according to Safiq (2022), people are not fully aware of their tax responsibilities, do not feel a moral obligation to pay taxes, or receive poor-quality tax services and insufficient community education about tax policies or rules in results of non-compliance.

Tax Compliance

The key factor in maximizing state revenue is tax compliance (Agatha et al., 2025). In Bekasi City, there is a high level of tax compliance, driven by tax penalties and increased awareness of motor vehicle taxes (Safiq, 2022). The poor level of tax compliance is a long-term

problem, as reported by (Sholihah & Nugroho, 2025). Tax policies, as well as tax incentives, can only contribute to an improved compliance level when supported by a sufficient level of socialization. Variables such as social factors and behavioral motivations are considered important determinants of voluntary tax compliance (Appiah et al., 2024). However, there are other factors, such as moral obligation and quality of the services, which do not have a direct impact (Safiq, 2022). Alabi et al. (2024) have identified religious convictions, belief in governance, and higher income as outstanding and positive determinants of taxpayer compliance, either voluntary or mandatory. In Kebale District, Uganda, tax is vital in helping small and medium-sized businesses to prosper, raise revenue, and receive government patronage. This is because it is necessary to ensure the company's long-term success (Irumba et al., 2025).

In examining the impact of strategic, technology-driven corporate tax compliance in the manufacturing sector, Kavesta (2025) highlights the importance of striking a balance between enforcement and incentives in achieving financial performance through cost reduction, increased transparency, and enhanced engagement with regulatory agencies. Digital transformation significantly enhances the long-term health of businesses, thereby increasing their chances of paying taxes, particularly among business owners driven by patriotic ideals (Nastiti et al., 2025). The fear of being checked and fined, as well as the awareness of taxes, all contribute significantly to the level of adherence to tax laws. That is why it is essential to conduct statutory tax seminars to create awareness and facilitate compliance, as noted by (Granfon et al., 2023). It offers new concepts and realistic strategies for future studies and policies, as noted by (Ndlovu & Schutte, 2024). In general, it appears that clean energy startups grow significantly faster when tax compliance is simplified and specific incentives are provided, especially with the aid of digital systems.

Timeless & Accuracy

Tax compliance refers to the deliberate choice of taxpayers to adhere to established tax laws and regulations, ensuring that payments are made accurately and within prescribed deadlines, (Umali, 2024). It encompasses the proper disclosure of income, the submission of tax returns, and the fulfillment of filing obligations on time (Çetin Gerger, 2021). OECD Org. (2021) states that educating taxpayers about their taxes is an effective way to encourage people and businesses to pay their taxes on time.

Adherence to BIR Process

According to the Malacañang Records Office (2005), Executive Order No. 422, s. 2005 mandates the Bureau of Internal Revenue to implement a program aimed at promoting optimum tax compliance. The order acknowledges the importance of enhancing tax collections by offering incentives that encourage taxpayers to voluntarily declare and pay higher taxes, while simultaneously reducing administrative expenses associated with audits and investigations conducted by the Bureau. Edy et al. (2021) asserts direct link between tax competence and compliance, emphasizing the need for taxpayers to comprehend legal guidelines and policies for effective adherence. Additionally, taxpayers' sense of fairness and trust in tax authorities can influence how well they comply with tax obligations (Nigatu & Dr. Walia, 2023). Furthermore, according to Rosanti & Simorangkir (2024), higher levels of tax compliance also make taxpayers more likely to follow established regulations

Documentary Compliance

According to Cain et al. (2021) that in the Philippines, poor documentation practices among startup owners exacerbate the difficulty of complying with tax laws. Kaur and Sekhon (2022) draw a distinction between *functional tax literacy*, referring to individuals who possess the skills to complete tax return forms, and *tax illiteracy*, which characterizes those unable to

understand or perform such tasks. More comprehensively, tax literacy extends beyond familiarity with tax laws and compliance procedures to include an awareness of the broader societal role and necessity of taxation.

On the other hand, indirect taxes and destructive policies in developing countries hinder innovation, making it more challenging for these countries to compete globally (Hylynski et al., 2024). Nguyen (2022) cautions that higher tax rates may prompt taxpayers to conceal income on their returns, potentially leading to tax evasion and arrears. Furthermore, Lee et al. (2024) and Baba (2022) both suggest that tax compliance may be challenging due to factors such as morale, inspection rates, and tax fairness, including the equitable distribution of tax burdens and benefits among individuals and businesses.

Tax knowledge correlates with tax enforcement activities regarding improved tax compliance (Barbosa et al., 2025). Rosa Intansari (2022) state that in Central Java, tax literacy significantly increases tax compliance, as does patriotism. In democratic countries, voluntary tax compliance investigations suggest that tax literacy, combined with tools such as tax amnesty, tax incentives, and adequate service provision, plays a significant role in strengthening tax compliance. Rahayu et al. (2025) employs structural equation modeling approach to demonstrate that tax literacy, understanding, justice, power, and trust collectively influence compliance in small and medium-sized enterprises (SMEs) within the Indonesian context. In addition, both Okoth et al. (2024) and Kasyoka et al. (2022) claim that tax literacy significantly influences the effectiveness with which taxpayers in the Stahere Sub-County (Nairobi) make payments to retailers.

Nevertheless, financially literate individuals are more likely to pay their VAT liability (Padi et al., 2025). Furthermore, tax literacy has a significant positive influence on e-commerce traders' digital income tax compliance (Lusala et al., 2025). In Bacolod City, MSMEs are

primarily concerned with BIR rules and are generally aware of them. Given the significant influence of variables such as penalties on compliance, education level, and tax awareness, this study suggests the need for tailored tax awareness towards pacifical measures (Paco & Quezon, 2022). This may be due to an increased risk of unnecessary or intentional non-response, stemming from a lack of awareness or insufficient understanding of the need to pay taxes (Cafe et al., 2024). The tax system is complex, comprising various elements, including income tax, the value-added tax (VAT), payroll contributions, and local taxes. This may reduce the tendency of small firms to obey the rules (Padi et al., 2025)

Many studies use data from SMEs; however, very few address startups, which often face inconsistent funding, informal practices, and innovation demands (Kartika, 2024). SMEs must ensure their finances are well-managed to expand and remain in business. This is especially true when it comes to learning about money, seeking government help, and using new technologies (Nkwinika & Akinola, 2023). Sunarti & Kurnianingsih (2025) arrived at analogous conclusions, identifying that income level, the self-assessment method, and tax literacy collectively influence the compliance of MSME taxpayers. Nonetheless, there is no substantial correlation between tax compliance and awareness of business income. Udefi et al. (2025) state that financial literacy programs, improved transparency in the tax system, and simplified tax filing procedures foster greater tax compliance. Most SMEs engage in rampant tax evasion, seeking to establish the effect of financial literacy on SMEs' tax compliance level, with a focus on the effect of budgeting, financial forecasting, credit management, and investment diversification (Shariff & Musau, 2024). The lack of tax literacy results in suboptimal use of tax incentives, so the government must increase public awareness of tax regulations (Naitili et al., 2022).

Tax Education Program

According to Simon et al. (2022), tax education increases the knowledge level of taxpayers with regards to technical skills needed to determine the tax liability and awareness of tax regulations. Tax education in Indonesia is crucial for raising public awareness and compliance, but its effectiveness depends on methods used, community background, trust in government, and transparency, with technology and inclusive approaches recommended to improve understanding and increase compliance. Similarly, the study on Malaysian teachers confirmed that tax education plays a significant role in influencing compliance, though uncertainty remains among many respondents, highlighting the need for stronger public awareness campaigns and further research to refine strategies for improving tax compliance, (Hanapi, 2022). Moreover, Abas et al. (2021) found that Indonesia's "Pajak Bertutur" tax education program increased students' tax awareness, especially among those with prior knowledge, highlighting the need for continuous and tailored tax education to sustain improvements. Additionally, Mascagni et al. (2024) provided the first evaluation of taxpayer education, showing that training new taxpayers significantly improved compliance outcomes—such as filing, accurate reporting, and payment—through reduced compliance costs, increased knowledge, and better perceptions of complexity, with effects that remained robust and persisted over time.

Andriani et al. (2025) argue that compliance can be viewed as a communal solution to collective action problems. To encourage compliance, it is essential to understand what motivates people to work together. Musimenta (2020) supports this view, noting that compliance costs are operational expenditures that reduce taxable income or can increase the prices of goods and services. They caution that procedural complexity may compromise tax fairness. This study seeks to identify the factors that influence tax compliance and awareness among businesses by analyzing various demographic variables—such as age, educational

attainment, and gender—as potential influencers, as noted by (Cureg et al., 2024). Additionally, factors such as industry sector also contribute to compliance dynamics (Stanley, 2021 & Granfon et al., 2023).

Age

According to Shiferaw & Tesfaye (2020), older taxpayers are more likely to pay their taxes than younger taxpayers. This may be attributed to younger taxpayers, who are less familiar with the tax system, more prone to risk-taking, and less developed in their moral commitments to tax payment. Muslim (2020), on the other hand, disagrees with this conclusion and says that younger people actually pay their taxes more. Younger people are generally better at adapting to changes in tax laws and find it easier to use online tax reporting methods, which younger taxpayers prefer. On the other hand, most microbusiness owners in Cabuyao City are aged 26–30 or 40 and above, as these age groups often pursue entrepreneurship after gaining work experience (Umali, 2024).

Gender

According to this finding, gender should be considered a possible factor affecting compliance behavior. Yiyam & Asmare (2020) study supports this claim by showing that businesses owned by women are more likely to pay their taxes regularly than those owned by men. However, there are more male than female microbusiness owners in Cabuyao City likely because many of the businesses are motorshops and auto parts suppliers (Umali, 2024).

Educational Attainment

It also plays a crucial role in securing the tax revenue needed to achieve the Sustainable Development Goals. According to Shiferaw & Tesfaye (2020), as education levels increase, tax compliance tends to decline, which can lead to tax evasion. Umali (2024) asserts that any microbusiness owners in Cabuyao City are college graduates, showing that most have

completed higher education. This is likely because the types of businesses in the city require skills and knowledge usually gained through tertiary studies.

Classification of Business/ Type of Business

Granfon et al. (2023) emphasize that within specific business sectors, tax awareness plays a crucial role in shaping compliance among Small, and Medium Enterprises (SMEs). Their findings highlight the importance of developing targeted approaches to strengthen tax awareness across diverse contexts.

1.3 Theoretical Framework

To better understand Tax Literacy and Tax Compliance in Startup Businesses, this research will be anchored in the Theory of Planned Behavior by Icek Ajzen (1991). The theory of planned behavior posits that attitudes, subjective norms, and perceived behavioral control collectively influence intentions, which, in turn, shape behavior. Depending on the extent to which the individual actually controls a behavior and the extent to which perception of behavioral control accurately reflects actual behavioral control, external forces may also directly compel or prevent behaviors, regardless of intention. According to LaMorte (2022), the theory is intended to explain all behaviors over which people have self-control. The key aspect of this model is that behavioral intent is shaped by attitudes toward the probability that a given behavior will produce desired outcomes, as well as by a subjective evaluation of the risks and benefits of those outcomes.

In the context of taxation, startup owners' attitudes toward compliance are shaped by their level of tax literacy, as knowledge clarifies the benefits of compliance and the risks of evasion. Subjective norms, such as expectations from peers, investors, and government institutions, further reinforce compliance when tax literacy highlights its role as a socially accepted and professional standard. Perceived behavioral control is also directly linked to tax

literacy, as greater knowledge reduces complexity and increases confidence in managing tax obligations. Together, these constructs strengthen behavioral intentions, which translate into actual compliance behaviors such as filing, payment, and adherence to regulations. Thus, tax literacy enhances each component of TPB, making it a critical factor in predicting and improving compliance among startup enterprises.

1.4 Schematic Diagram

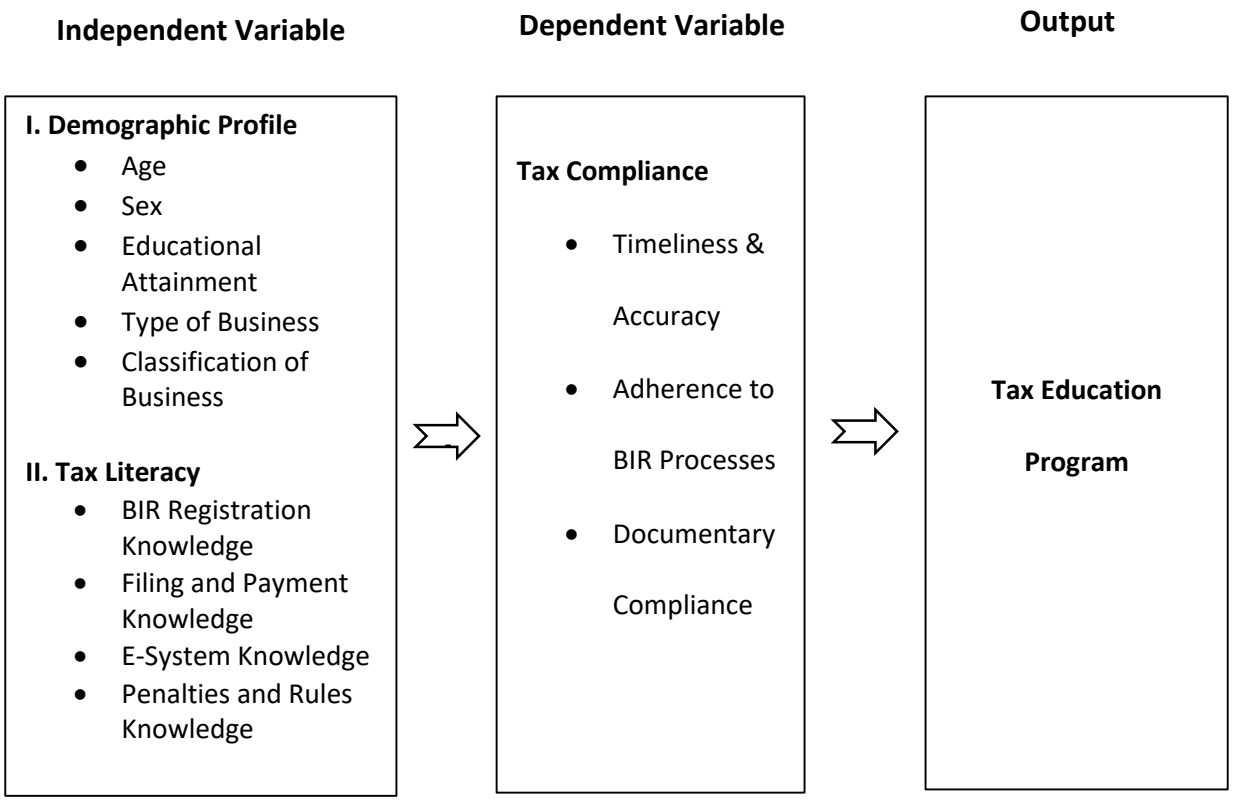


Figure 1. *The first box (independent variable) represents tax literacy. An arrow to the right box shows the second box (dependent variable) of the study, which is the tax compliance. It illustrates how the independent variables (tax literacy) are expected to influence the dependent variable (tax compliance).*

1.5 Statement of the Problem

This study evaluates the tax literacy and compliance of selected startups in Agusan del Norte. Specifically, it seeks to answer the following questions:

1. What is the demographic profile of selected startup business owners in Agusan del Norte in terms of:
   1.1 Age;
   1.2 Sex;
   1.3 Educational attainment;
   1.4 Type of Business; and
   1.5 Classification of Business
2. What is the level of tax literacy among selected startup businesses in Agusan del Norte according to profile in terms of:
   2.1 BIR Registration Knowledge;
   2.2 Filing and Payment Knowledge;
   2.3 E-System Knowledge; and
   2.4 Penalties and Rules Knowledge
3. What is the level of tax compliance among business owners in Agusan del Norte according to profile in terms of:
   3.1 Timeliness & Accuracy;
   3.2 Adherence to BIR Processes; and
   3.3 Documentary Compliance
4. Is there a significant relationship between tax literacy and tax compliance of the selected startup businesses in Agusan del Norte?

5. Based on the future findings of the study, what tax-related program will be proposed?

Hypothesis

The null hypothesis is intended to guide the researcher in studying tax literacy and tax compliance of Selected Startup Businesses in Agusan del Norte.

Null Hypothesis 1: There is no significant relationship on the level of tax literacy when the respondents are grouped according to profile variables.

Null Hypothesis 2: There is no significant relationship on the level of tax compliance when the respondents are grouped according to profile variables.

Null Hypothesis 3: There is no significant relationship between the levels of tax literacy and tax compliance

1.6 Scope and Limitations

This study will be conducted in selected startup businesses in Agusan del Norte, specifically in the Municipalities of Buenavista and Carmen. The respondents are the business owners of selected startup businesses in Agusan del Norte, specifically those enterprises that have been operating for less than 3 years and up to the current year. They are legally registered with the Business Permit Licenses Office (BPLO).

1.8 Definition of Terms

Accuracy. Refers to how correctly startup owners or managers report tax information and follow tax rules, based on their answers to the survey.

Adherence to BIR Processes. Refers to how well startup owners or managers follow the required steps and procedures of the Bureau of Internal Revenue (BIR), as shown in the survey results.

Age. Refers to the chronological number of years of the startup owner or manager to examine differences in tax literacy and tax compliance among respondents.

Classification of Business. Refers to whether the startup business is classified as small or medium.

BIR Registration Knowledge. Refers to how well the respondent understands BIR registration requirements, forms, and deadlines.

Documentary Compliance. Refers to how well the business keeps and submits proper tax documents, as indicated in the questionnaire.

Educational Attainment. Refers to the highest level of formal education completed by the selected startup business owner or manager to determine whether education influences tax literacy and tax compliance.

E-System Knowledge. Refers to how well the respondent understands and uses the BIR's online systems,

Filing and Payment Knowledge. Refers to the respondent's knowledge of what tax forms to file, when to file them, and how to make tax payments.

Penalties & Rules Knowledge. Refers to how aware the respondent is of tax rules and the penalties for not following them.

Startups. Refers to the newly established business in Agusan del Norte.

Startup Business. Refers to the businesses that exist and operate for less than 3 years. Legally registered with the Business Permit Licenses Office (BPLO).

Sex. Refers to the biological classification of the startup owner or manager to determine whether gender differences influence the levels of tax literacy and compliance among selected startup businesses in Agusan del Norte.

Tax. Refers to the mandatory financial charge imposed by the government on a business's income, sales, property, or transactions among startup businesses in Agusan del Norte.

Tax Compliance. Refers to how willing and able startup owners or managers are to follow tax laws and regulations.

Tax Literacy. Refers to how well startup owners or managers understand basic tax rules, duties, and and procedures in the context of their business operations.

Taxpayer. Refers to the startup business owners or managers in Agusan del Norte.

Tax Education Program. Refers to a proposed program based on the study results that aims to improve tax knowledge and compliance among startup businesses.

Timeliness. Refers to how on time the respondent completes tax registration, filing, payment, and document submission.

Type of Business. Refers to the classification of a taxpayer's enterprise that determines applicable tax obligations, filing requirements, and compliance processes according to industry.

CHAPTER 2

METHODOLOGY

This chapter presents the methodological framework and systematic procedures used to investigate the level of tax literacy and compliance of selected startups in Agusan del Norte describing the research design, locale, participant characteristics, data collection instruments, the step-by-step gathering process, and the statistical techniques applied in the analysis. These methods serve as a blueprint for achieving the research objectives, ensuring transparency, and enabling replication by future scholars.

2.1 Research Design

This study will employ quantitative research and a descriptive correlational design, utilizing a modified survey, and will be distributed to selected startup business owners in Agusan del Norte. Bhandari (2020) describes quantitative research as the collection and analysis of numerical data to identify trends, test relationships, and generalize findings. The study employs this design to objectively examine the demographic characteristics, the level of tax literacy and compliance of startup businesses in Agusan del Norte. The study aims to examine existing conditions without manipulation to establish a clear foundation for recommendations and subsequent research.

2.2 Research Locale

This study will be conducted in selected startup businesses in the Municipalities of Buenavista and Carmen. These municipalities are located in the northeastern part of Agusan del Norte, Caraga Region, on the Island of Mindanao. The Municipality of Buenavista is a 1st class municipality in the province of Agusan del Norte, Philippines. According to the 2020 census, it has a population of 68,892 people, has a latitude of 8°58'N and a Longitude of 125°25'E, covering an area of 148.63 km² (57.63 sq mi). They saw the village overlooking the

sea and appreciated the beauty of nature in abundance. They exclaimed “Bien Vista”, which means “Good View” thus the present name Buenavista. Carmen is a coastal municipality in the province of Agusan del Norte, at longitude of 8*60'N and a latitude of 25*5'E, is located in the western Agusan corridor of the province, bordered by Butuan Bay to the north. Its present name is from the miraculous image of the Virgin of Mount Carmen, believed to have been instrumental in killing the leader of the bandits who used to inhabit the place.

These areas were chosen because they are among the province’s most active and developing centers for small-scale enterprises and startup businesses. Both municipalities are strategically located along major transportation and trade routes, making them accessible hubs for commerce and entrepreneurial activity. Their growing number of startups reflects the increasing participation of local residents in business ventures, which makes them ideal settings for examining issues of tax literacy and compliance. Startups in provincial areas often face distinct challenges compared to those in urban centers, including limited access to financial education, fewer professional advisory services, and varying levels of awareness of tax regulations. By focusing on these municipalities, the study aims to capture the realities of startup enterprises in a provincial context, where compliance behavior may be influenced by knowledge gaps, perceptions of taxation, and resource constraints. Understanding the tax literacy and compliance levels of startup owners in Buenavista and Carmen can guide the development of targeted educational programs, compliance support mechanisms, and policy interventions that strengthen financial performance and promote sustainable business growth.

2.3 Research Respondents

Table 1. Distribution of Respondents

AREA (MUNICIPALITY)	Population (F)	Sample Size (f)	Percentage (%)
BUENAVISTA	347	171	84.65
CARMEN	63	31	15. 35
TOTAL	410	202	100

Table 1 shows the respondents in the Municipalities of Buenavista and Carmen, Agusan del Norte, based on their years of operation. The data shows that the respondents consist of startup businesses who have been operated for less than three (3) years and are registered to Business Permit and Licensing Office (BPLO). The total population across these two municipalities is 410 startup businesses. Using Slovin's Formula to determine sample size at a 95% confidence level, the calculated sample size is 202 respondents. The criteria were used to include the respondents: (1) the business must be established within the Municipalities of Buenavista and Carmen, Agusan del Norte and have been operated for less than three years; (2) the business must be registered in Business Permit and Licensing Office, either small or medium enterprises; (3) respondents should be the owner or manager; (4) the respondents must have experience or be familiar with tax related matters; and (5) the respondents must present during data collection willing to participate in the study and provided with informed consent. This sample, proportionally distributed across two municipalities based on the actual registered businesses, ensures comprehensive representation of entire startups businesses. Using simple random technique, selection of participants purely by chance, giving every member of the population an equal opportunity to be included in the study.

2.4 Research Instrument

This study will use an adapted and modified printed research questionnaire. The study developed by Mr. Oliver S. Umali's study, entitle "Tax Literacy and Compliance of the Selected

Micro Business in Cabuyao City," will be use as a model for the instrument, along with some changes to gather information from respondents. The questionnaire consists of three parts:

Part I provides the demographic profile of the respondents, such as age of the respondents, gender, BIR registered, type of business (industry) and classification of business (size).

Part II will analyze the level of tax literacy by assessing respondents' BIR registration knowledge, filing and payment knowledge, e-system knowledge, and penalties & rules knowledge.

Part III will evaluate the level of tax compliance specifically the respondent's timeliness & accuracy, adherence to BIR process, and documentary compliance.

This study seeks to develop items for each indicator, which will then be compared with related literature to evaluate the level of tax literacy and compliance among startups businesses. Responses will be measured using a four-point Linkert scale, with each statement rated accordingly: Exceptionally Proficient in Tax Literacy and Compliance (4), Competent Level of Tax Literacy and Compliance (3), Limited Tax Literacy and Compliance Practices (2), and Deficient in Tax Literacy and Compliance (1). These numbers will show the level of tax literacy and compliance of startups business owners and will be the basis for developing tax education program.

The instrument will undergo content validation through consultation with the research adviser and panelists to ensure accuracy, relevance, and alignment with the research objectives. Prior validation, pilot testing, and reliability assessment were conducted by the original authors in an earlier study.

2.5 Research Ethical Standards

The proposed study will be conducted with a high level of compliance with institutional ethical standards and national regulations to ensure the preservation of participants' rights. The information will not be compromised, and the overall research process will be conducted in accordance with ethical standards.

A. Protection of Intellectual Property Rights (IPR)

This study does not involve the development of new items or technology that would require patent protection to ensure financial protection. The survey questionnaire will be adapted from an already published study, provided the original author consents. The updated instrument will be tailored to the specific research environment and protected by copyright regulations. Additionally, since there will be no trademarks, logos, or distinctive designs to integrate, there is no requirement to register a trademark.

B. Informed Consent

The researchers will have an orientation, a briefly explanation of the purpose of the study before providing the participants in the study with a fully informed consent form, ensuring they are aware of all details. This form will clearly outline the purpose of the research, the steps that will be taken, the type of information that will be gathered, and any potential benefits and hazards associated with participating. It will also explain their rights, such as the right to refuse or leave the study at any moment without any harmful effects. Participants will know exactly what they need to do if they read the form thoroughly. They will be asked to sign the consent form if they accept to take part. This will demonstrate that they are willing to participate and understand the information provided to them. This procedure is designed to be open and honest, respecting respondents' autonomy and ensuring they are fully aware of their actions and intentions.

C. Data Privacy and Confidentiality

This study gives an overview of its goals. It reassures participants that their answers will be used solely for academic research and kept entirely private for their own safety, given the sensitivity of the topic. Researchers must ensure that any information or list provided by the organization's offices is kept private, cannot be shared without the head or manager's permission, and is used only for academic purposes.

All research instruments and collected data will be managed with utmost responsibility from the beginning of the study until its completion. After the research activities have concluded, the accomplished survey questionnaires and other hard-copy materials will be securely stored in a locked storage box located either in the research office or in a designated faculty room. This controlled access ensures that only authorized personnel can handle the documents. In accordance with institutional and ethical research standards, these materials will be retained for five (5) years. This retention period allows sufficient time for verification, follow-up inquiries, or academic review, while still protecting participant confidentiality. Once the five-year period has elapsed, all hard-copy documents will be permanently and securely shredded, ensuring that no sensitive or personally identifiable information can be recovered or misused. The entire disposal process will follow strict protocols to guarantee the complete protection of participant data, uphold ethical research practices, and maintain the integrity of the study.

D. Voluntary Participation Selection

The researchers have no personal or professional relationship with the respondents; therefore, there is no conflict of interest in conducting the study. Participation in the research is entirely voluntary. The respondents will not receive any form of payment, reward, or compensation for taking part in the study, and their responses will be used solely for academic purposes. Voluntary participation implies that respondents may withdraw at any time, while

protecting respondents' privacy by allowing them to remain anonymous and withhold specific details such as demographic profiles. Trust implies that the respondents are not subject to any acts of deception or betrayal in the research process or its outcomes, and have the right to know the conclusion of this study.

E. Minimization of Harm and Risk

The researchers will ensure that no harm is caused to the owners or representatives of the startup firms participating in this study. All survey questions are carefully worded to be respectful, non-intrusive, and appropriate, and are not expected to cause any physical, emotional, or psychological discomfort to the respondents.

Prior to data collection, respondents will be clearly informed about the purpose of the study, the procedures involved, and their rights as participants. Participation is entirely voluntary, and respondents may refuse to answer any question or withdraw from the study at any time without penalty or negative consequences.

The survey questionnaires will be distributed personally by the researchers at the respondents' place of business during non-peak or convenient hours to avoid disrupting daily operations. The administration of the survey will take only 15-20 minutes, and respondents will be allowed to complete the questionnaire at their own pace. The study will not interfere with the normal operating hours or business activities of the startup firms.

Should respondents have any concerns or experience discomfort at any point during the data-gathering process, they may freely communicate with the researchers, who will provide immediate assistance or clarification.

This study does not involve animal subjects; therefore, animal care and handling are not applicable. These ethical measures are intended to protect the safety, comfort, and well-

being of all participants and to ensure that the research is conducted responsibly, ethically, and with respect at all times.

F. Beneficence and Contribution to Knowledge

This study aims to have a substantial impact by providing distinctive insights into the tax literacy and compliance rates of the selected startup companies in Agusan del Norte. The results will illustrate how well these startups understand and follow tax rules, helping to identify common difficulties, knowledge gaps, and areas that require further attention. The information will help people who own startups understand their tax responsibilities and comply with the relevant rules. The researchers will also help develop an effective tax education program that meets the needs of new businesses. This program can help them stay up-to-date with tax laws, avoid trouble, and enable the local economy to flourish. The results may also assist schools, lawmakers, and government agencies in developing strategies to help new businesses learn about taxes and pay them. Once the research is complete, participants will be able to request the results. This way, everyone can view them, and the people who assisted with the study will gain something valuable.

G. Justice and Fair Participant Selection

Using simple random technique, selection of participants purely by chance, giving every member of the population an equal opportunity to be included in the study. This ensures the study includes a range of viewpoints. The criteria were used to include the respondents: (1) the business must be established within the Municipalities of Buenavista and Carmen, Agusan del Norte and have been operated for less than three years; (2) the business must be registered in Business Permit and Licensing Office, either small or medium enterprises; (3) participants should be the owner or manager; (4) the respondents must have experience or be familiar with tax related matters; and (5) the respondents must present during data

collection willing to participate in the study and provided with informed consent. Respondents will be excluded from the study if they do not meet the inclusion criteria.

H. Data Integrity and Accuracy

The researchers will collect and analyze the data fairly and thoroughly. Only the researchers will be able to see the respondents' answers, ensuring safety and fairness, including checking for missing answers or problems with the questionnaire. These problems could lead to less accurate results. If there are any blank answers, the researchers will politely follow up with the survey respondents. This fills in the blanks in the information. Before the poll is sent out, experts will look over the questions. They will ensure it is easy to understand and reliable.

A statistician will help the researchers ensure the data analysis is correct. It will also ensure the results are precise. We will handle any forms that are not filled out correctly. The outcomes will be reported honestly. These steps will ensure that the study is valid, reliable, and fair to all participants.

I. Transparency and Honesty in Reporting

To preserve the credibility of the research, we will report the findings of this study in a truthful, unambiguous, and precise manner. In addition to ensuring that all study findings are accurate, the researchers will check that no data have been altered, omitted, or misrepresented. All sources, including published articles and information protected by intellectual property rights, must be appropriately attributed and acknowledged to credit the original authors. To ensure correctness and precision, the data will be structured and analyzed using appropriate applications and procedures.

J. Use of Patented or Copyrighted Materials

Likewise, the researchers understand what plagiarism entails and are aware of the School's policy on the matter. They undertake not to make use of another person's previous work without acknowledgment or to submit it as their own. They also undertake not to allow anyone to copy their work with the intention of using it as their own.

K. Ethical Considerations for Animal and Human Trials

This study will include only human participants, specifically, the owners and managers of selected startup enterprises in Agusan del Norte. Certification in animal ethics is unnecessary because no animals are involved in the process. To protect participants' well-being and rights, the research team will carefully evaluate all potential effects, benefits, and dangers. Participants will be instructed to complete a survey questionnaire. Before participating, the researchers will obtain informed consent, ensuring that participants are aware of the study's goals, procedures, and their rights.

L. Responsible Use of AI and Other Related Technologies

The researchers utilize AI tools, such as Grammarly and QuillBot, to enhance grammar and make content more concise and comprehensible. They also utilize ChatGPT and Microsoft Copilot to assist them in writing more effectively and selecting more precise words. The sole reason these tools were made was to help; they were not meant to replace the researchers' own thought, analysis, or decision-making. The researchers are responsible for carefully reviewing and finalizing all ideas, interpretations, and results. The team ensures the study remains accurate, reliable, and ethically sound by using AI responsibly and reviewing all results.

M. Ethical Clearance and Institutional Approval

To promote institutional monitoring, accountability, and data management in accordance with the research rules and ethical standards of Saint Michael College of Caraga,

the researchers acknowledge that the college will own all data collected from this study. Upon receipt of ethical and institutional clearance from the appropriate offices, the study will commence. This will ensure that all rules and protocols are followed.

2.6 Data Gathering Procedure

This study will be conducted in selected startup businesses in Agusan del Norte. The researchers will follow the following process to gather the data needed for this study.

Letter of Approval. Formal letters will be sent to the Business Permit and Licensing Offices (BPLO) of Buenavista and Carmen, Agusan del Norte. Letters will also be addressed to the municipal mayors to request permission to obtain a list of startup businesses, specifically that have been operating for less than three years in their areas. These requests will be officially processed through the proper government offices.

Distribution of Questionnaires. The researchers will have an orientation, a briefly explanation of the purpose of the study before personally distribute the printed questionnaires to the respondents after obtaining their consent. The survey consists of three parts: Part I is the demographic profile, Part II is the tax literacy, and Part III is the tax compliance, based on the instrument developed by Mr. Oliver S. Umali (2024). Respondents will be given sufficient time to complete the questionnaire, after which the researchers will collect the accomplished forms.

Data Tallying and Organization. The collected data will be checked for completeness and accuracy before being tallied, encoded, and organized in the system. The data will be counted, coded, and summarized using frequency counts and percentages. The first part will present the respondents' demographic profile, the second part will assess tax literacy, and the third part will evaluate tax compliance.

The research will use these descriptive statistics tools to interpret and display the data easily, aligning with the study's quantitative descriptive design. Part II: Tax Literacy. The following section will identify the level of startup businesses in terms of (A) BIR Registration Knowledge, (B) Filing & Payment Knowledge, (C) E-system Knowledge, and (D) Penalties and Rules Knowledge. Part III, will assess the level of tax compliance in terms of Timeliness & Accuracy, Adherence to BIR Process, and Documentary Compliance.

2.7 Data Analysis Plan and Procedure

After data collection, the researchers will analyze and interpret the information, recognizing the importance of accurate statistical procedures and data handling. The researcher will enlist a statistician to ensure the study's findings are precise and reliable. This study will use a quantitative and descriptive-correlational design.

Frequency and Percentage Distribution. To determine the number of profiles per variable and the difference between the variables when grouped according to profile.

Weighted Mean. Used to determine the relationship between the level of tax literacy and tax compliance of startup businesses in Agusan del Norte.

Pearson Product Moment Correlation Coefficient. Used to establish significant relationships between tax literacy and tax compliance of startup businesses in Agusan del Norte.

Evaluation and Scoring: To Determine the Level of Tax Literacy and Tax Compliance Rating Weight with Descriptive Equivalents.

Table 2. *Evaluation and Scoring*

Assigned Points	Range	Categorical Response	Verbal Interpretation
4	3.26-4.00	Strongly Agree	Exceptionally Proficient in Tax Literacy and Compliance

3	2.51-3.25	Agree	Competent Level of Tax Literacy and Compliance
2	1.76-2.50	Disagree	Limited Tax Literacy and Compliance Practices
1	1.00-1.75	Strongly Disagree	Deficient in Tax Literacy and Compliance

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Membership/Affiliations

ORGANIZATION	POSITIONS HELD
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Membership/Affiliations

ORGANIZATION	POSITIONS HELD
Junior Financial Executives (JFINEX) - SMCC Chapter	Member

APPENDICES